

	Having found the existence of a duty sufficient to support a negligence claim, the court in <i>North American Chemical</i> proceeded, in a separate portion of the opinion, to hold that the economic loss rule did <i>not</i> apply to service contracts, where the economic loss was foreseeable (a <i>Biakanja</i> factor.) <i>Id.</i> at 770. For these reasons, AutoNation Ford Tustin's motion for summary judgment on the fifth cause of action for negligent repair is DENIED. <i>Sixth Cause of Action for Fraudulent Concealment</i> The elements of fraud are: "(a) [a] misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." <i>Lazar v. Superior Court</i> (1996) 12 Cal.4th 631, 638; <i>see also Engalla v. Permanente Medical Grow, Inc.</i> (1997) 15 Cal.4th 951, 974. Specific to a fraudulent concealment or omission claim, the plaintiff must establish: (1) the defendant concealed a material fact; (2) the defendant had a duty to disclose the fact to the plaintiff; (3) the defendant intentionally concealed the fact with the intent to defraud the plaintiff; (4) the plaintiff was unaware of the fact and would not have acted as he did if he had known of the concealed fact; and (5) as a result of the concealment of the fact, the plaintiff sustained
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damage. *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 748.

There are four circumstances in which concealment/omission may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. *Limandri v. Judkins* (1997) 52 Cal.App.4th 326, 336-337; CACI 1901.

ISSUE Nos. 2 and 3: Duty to Disclose/Direct Transaction or Contract

The court in *Bigler-Engler, Inc.* (2017) 7 Cal.App.5th 276, held that: “A duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as ‘seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.’” *Id.* at 311. “Our Supreme Court has described the necessary relationship giving rise to a duty to disclose as a ‘transaction’ between the plaintiff and defendant: ‘In *transactions* which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to